

Monetary Policy

Monetary Policy: “The primary objective of monetary policy is to maintain price stability while keeping in mind the objective of growth.”

Under the Reserve Bank of India, Act, 1934 (RBI Act, 1934) (as amended in 2016), RBI is entrusted with the responsibility of conducting monetary policy in India.

The Monetary Policy Framework:

In May 2016, the RBI Act, 1934 was amended to provide a statutory basis for the implementation of the flexible inflation targeting framework.

Note: Prior to the amendment in the RBI Act in May 2016, the flexible inflation targeting framework was governed by an Agreement on Monetary Policy Framework between the Government and the Reserve Bank of India.

45ZA of the RBI Act 1934: Inflation target:

The amended RBI Act also provides for the inflation target to be set by the Government of India, in consultation with the Reserve Bank, once in every five years. Accordingly, the Central Government has notified in the Official Gazette, **4 per cent Consumer Price Index (CPI) inflation as the target for the period from August 5, 2016 to March 31, 2021 with the upper tolerance limit of 6 per cent and the lower tolerance limit of 2 per cent.**

The inflation target for the period April 1, 2021 to March 31, 2026 under the Reserve Bank of India Act 1934 has been kept at the same level as was for previous five years.

Consumer Price Indices (CPI) measure changes over time in general level of prices of goods and services that households acquire for the purpose of consumption.

The inflation is the “Consumer Price Index (CPI) – Combined” published by National Statistical Office (NSO), Ministry of Statistics and Programme Implementation.

Failure to achieve the inflation target:

The Central Government notified the following as factors that constitute **failure to achieve the inflation target:**

(a) the **average inflation is more than the upper tolerance level** of the inflation target for any **three consecutive quarters**; or

(b) the **average inflation is less than the lower tolerance level** for any **three consecutive quarters**.

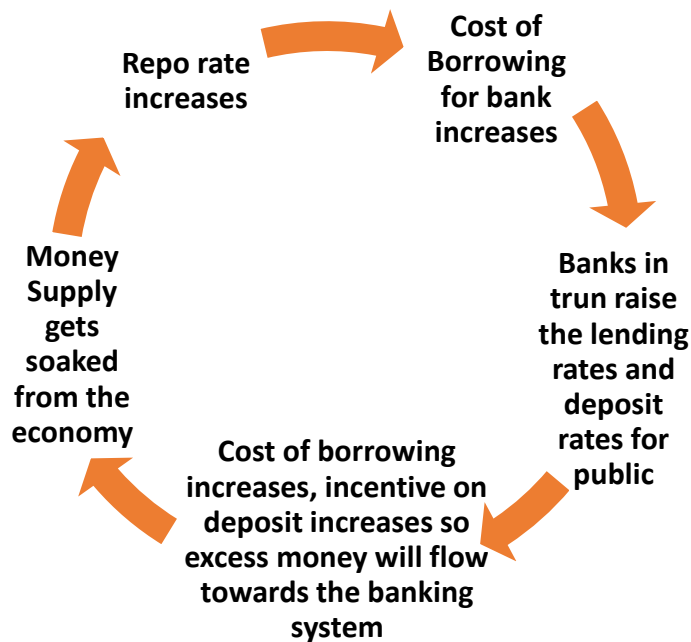
When the **Bank fails to meet the inflation target**, it shall set out in a report **to the Central Government**:

- ✓ **The reasons for failure to achieve the inflation target;**
- ✓ **Remedial actions proposed to be taken by the Bank; and**
- ✓ **An estimate of the time-period within which the inflation target shall be achieved pursuant to timely implementation of proposed remedial actions.**

The framework aims at **setting the policy (repo) rate based on an assessment of the current and evolving macroeconomic situation; and modulation of liquidity conditions to anchor money market rates at or around the repo rate**. Repo rate changes transmit through the money market to the entire the financial system, which, in turn, influences aggregate demand – a key determinant of inflation and growth.

The **operating framework of monetary policy** aims at **aligning the operating target** – the **weighted average call rate (WACR)** – **with the policy repo rate** through proactive liquidity management to facilitate transmission of repo rate changes through the entire financial system, which, in turn, influences aggregate demand – a key determinant of inflation and growth.

Monetary Transmission: The process through which the **changes made by RBI transmit through the economy**. These changes transmit through the money market to the entire financial system.



Monetary Policy Committee (MPC):

- **Section 45ZB of the amended RBI Act, 1934** provides for an empowered **six-member monetary policy committee (MPC)** to be constituted by the Central Government by notification in the Official Gazette. **The first such MPC was constituted on September 29, 2016. The first meeting of the MPC was held on October 3 and 4, 2016.**
- The Reserve Bank's **Monetary Policy Department (MPD)** assists the MPC in formulating the monetary policy.
- Once the monetary policy is decided, The **Financial Markets Operations Department (FMOD)** operationalises the monetary policy, mainly **through day-to-day liquidity management operations**. The **Financial Markets Committee (FMC)** **meets daily** to **review the liquidity conditions** so as to ensure that the operating target of the weighted average call money rate (WACR) is met.

The present MPC members, as notified by the Central Government in the latest Official Gazette are as under:

RBI Members:

- (1) **Governor of the Reserve Bank of India — Chairperson, ex officio;**
- (2) Deputy Governor of the Reserve Bank of India, in charge of Monetary Policy — Member, **ex officio;**
- (3) One officer of the Reserve Bank of India to be nominated by the Central Board — Member, **ex officio;**

Government Representatives:

- (4) Prof. Ram Singh, Director, Delhi School of Economics, University of Delhi — Member;
- (5) Shri Saugata Bhattacharya, Economist — Member; and
- (6) Dr. Nagesh Kumar, Director and Chief Executive, Institute for Studies in Industrial Development, New Delhi — Member.

(Members referred to at 4 to 6 above, will hold office for a period of four years or until further orders, whichever is earlier)

- The MPC determines the policy repo rate required to achieve the inflation target.
- The MPC is required to meet at least four times in a year.
- The quorum for the meeting of the MPC is four members.
- Each member of the MPC has one vote, and in the event of an equality of votes, the Governor has a second or casting vote.
- Each Member of the Monetary Policy Committee writes a statement specifying the reasons for voting in favour of, or against the proposed resolution.
- The MPC is responsible for taking important monetary policy decisions.
- It has MPC has replaced the previous arrangement of **Technical Advisory Committee**. Before establishment of Monetary Policy Committee, the final decision on interest rates etc. would come from RBI Governor's desk. **Though there was a Technical Advisory Committee (TAC)**, (comprising of **governor** as its **chairman**, the **deputy governor** as its **vice-chairman** and other **3 deputy governors**) the **Governor had overriding powers** upon the decision-making process. The **TAC was advisory in nature** and there was **no voting system** there.

Recommendation For MPC:

Strong recommendation to set monetary policy committee in India had come from **Urjit Patel panel** an **RBI-appointed committee**.

Prior to this, the **Justice B. N. Srikrishna headed the financial sector legislative reforms Commission (FSLRC)** had also suggested establishing MPC to meet the challenges of the growing complex economy.

45ZC: Eligibility and Selection of Members appointed by the Central Government:

1. The **Members of the Monetary Policy Committee** referred to in section 45ZB **shall be appointed by the Central Government** from amongst persons of ability, integrity and standing, having knowledge and experience in the field of economics or banking or finance or monetary policy.

Provided that no person shall be appointed as a Member, in case such person—

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- (i) has completed the age of seventy years on the date of appointment as Member;
- (ii) is a Member of any Board or Committee of the Bank;
- (iii) is an employee of the Bank;
- (iv) is a public servant as defined under section 21 of the Indian Penal Code;
- (v) is a Member of Parliament or any State Legislature;
- (vi) has been at any time, adjudged as an insolvent;
- (vii) has been convicted of an offence which is punishable with an imprisonment for a term of one hundred and eighty days or more;
- (viii) is physically or mentally incapable of discharging the duties of a Member of the Monetary Policy Committee; or
- (ix) has a material conflict of interest with the Bank and is unable to resolve such conflict.

2. The Members of the Monetary Policy Committee referred to in clause (d) of subsection (2) of section 45ZB shall be appointed by the Central Government on the recommendations made by Search-cum-Selection Committee consisting of the following members, namely:

(a) Cabinet Secretary—Chairperson

- (b) Governor of the Reserve Bank of India or his representative (not below the rank of Deputy Governor)—member;
- (c) Secretary, Department of Economic Affairs—member;
- (d) three experts in the field of economics or banking or finance or Monetary policy to be nominated by the Central Government—member.

Section 45ZB in The Reserve Bank of India Act, 1934

45ZB. Constitution of Monetary Policy Committee

- (1) The Central Government may, by notification in the Official Gazette, constitute a Committee to be called the Monetary Policy Committee of the Bank.
- (2) The Monetary Policy Committee shall consist of the following Members, namely:--
 - (a) the Governor of the Bank—Chairperson, ex officio;
 - (b) Deputy Governor of the Bank, in charge of Monetary Policy—Member, ex officio;
 - (c) one officer of the Bank to be nominated by the Central Board—Member, ex officio; and
 - (d) three persons to be appointed by the Central Government—Members.
- (3) The Monetary Policy Committee shall determine the Policy Rate required to achieve the inflation target.
- (4) The decision of the Monetary Policy Committee shall be binding on the Bank.

45ZD. Terms and conditions of appointment of Members of Monetary Policy Committee:

- (1) The Members of the Monetary Policy Committee appointed under section 45ZB shall hold office for a period of four years and shall not be eligible for re-appointment.

(2) The **terms and conditions of appointment** of Members of the Monetary Policy Committee shall be such as may be **prescribed by the Central Government** and the **remuneration and other allowances payable to such Members shall be such as may be specified by the regulations made by the Central Board**.

(3) A **Member may resign** from the Monetary Policy Committee, at any time before the **expiry of his tenure, by giving to the Central Government**, a **written notice of not less than six weeks**, and on the acceptance of the resignation by the Central Government, he shall cease to be a Member of the Monetary Policy Committee.

45ZE: Removal of Members of Monetary Policy Committee:

(1) The Central Government may remove from office any Member of the Monetary Policy Committee **appointed under clause (d) of sub-section (2)** of section 45ZB, who —

- (a) is, or at any time has been, adjudged as an **insolvent**; or
- (b) has become **physically or mentally incapable** of acting as a Member; or
- (c) has been **convicted of an offence** which, in the opinion of the Central Government, involves moral turpitude; or
- (d) has **failed to adequately disclose any material conflict of interest** at the time of his appointment; or
- (e) **does not attend three consecutive meetings of the Monetary Policy Committee without obtaining prior leave**; or
- (f) **has acquired such financial or other interest as is likely to affect prejudicially his functions** as a member; or
- (g) has **acquired any post referred to in clauses (ii), (iii), (iv) and clause (v)** or
- (h) has, **in the opinion of the Central Government, so abused his position as to render his continuance in office detrimental to the public interest**.

(2) Member appointed by the Central Government shall not be removed under clause (d) or clause (e) or clause (f) or clause (g) or clause (h) of subsection (1) unless he has been given a reasonable opportunity of being heard in the matter.

Reserve Bank of India Monetary Policy Committee and Monetary Policy Process Regulations, 2016 (notified by RBI):

- **Members appointed by Central Government** shall receive a remuneration of **Rs 1,50,000** (rupees one lakh fifty thousand) for devoting time and work for each meeting of the Committee to be conducted and other expenses relating to air travel, local transportation and accommodation as may be decided by the Central Board from time to time
- **The head of the Monetary Policy Department (MPD), shall be the Secretary to the committee.** In his/her absence, the representative nominated by him/her not below the rank of senior officer in MPD shall function as the Secretary.

The Monetary Policy Process:

The Reserve Bank has notified **Reserve Bank of India Monetary Policy Committee and Monetary Policy Process Regulations, 2016** which came into effect from August 01, 2016. In terms of **Regulation 5** of these regulations *ibid.*, the **Monetary Policy Process** consists of the following:

- a) **Meeting schedule:** The schedule of monetary policy voting/decision meetings for the entire fiscal year is announced in advance.
- b) **Meeting notice:** Ordinarily, **not less than fifteen days' notice** is given to members for meetings of the Committee. Should it be found necessary to convene an **emergency meeting, 24 hours' notice** is given to every member to enable him/her to attend, with technology enabled arrangements for even shorter notice period for meetings.
- c) **Meeting duration:** The duration of monetary policy meetings is as decided by the Committee. The policy resolution is publicly released after the conclusion of the MPC meeting keeping in view the functioning and timing of financial markets.

The MPC in its meetings reviews the surveys conducted by the Reserve Bank to gauge consumer confidence, households' inflation expectations, corporate sector performance, credit conditions, the outlook for the industrial, services and infrastructure sectors, and the projections of professional forecasters. The MPC also reviews in detail the staff's macroeconomic projections, and alternative scenarios around various risks to the outlook. Drawing on the above and after extensive discussions on the stance of monetary policy, the MPC adopts a resolution.

d) **The MPC Resolution:** **The Bank publishes, after the conclusion of every meeting of the MPC, the resolution adopted by the said Committee. The resolution includes the MPC's decision on the policy repo rate.**

e) **Minutes of the MPC meeting:** **On the 14th day after every meeting of the MPC, the minutes of the proceedings of the MPC are published which include:**

- ✓ **The resolution adopted by the MPC;**
- ✓ **The voting of each member on the resolution; and**
- ✓ **Short written statements of individual members justifying the vote, consistent with the provisions of Section 45ZL of the RBI Act.**
Minutes shall be released at 5 pm on the 14th day from the date of the policy day (or next earliest working day, if a holiday in Mumbai).

f) **The Monetary Policy Report:** **Once in every six months, the Reserve Bank publishes the Monetary Policy Report containing the following elements:**

- ✓ **Explanation of inflation dynamics in the last six months and the near-term inflation outlook;**
- ✓ **Projections of inflation and growth and the balance of risks;**

- ✓ An **assessment of the state of the economy**, covering the real economy, financial markets and stability, fiscal situation, and the external sector, which may entail a bearing on monetary policy decisions;
- ✓ An **updated review of the operating procedure** of monetary policy; and
- ✓ An **assessment of projection performance**.

Note: The Chairperson of the Committee shall inform the Central Government, if and when it comes to the notice of the Committee, that a member has become subject to any of the disqualifications.

Function of the MPC:

Under the amended RBI Act, the monetary policy making is as under:

- The MPC is required to meet at **least four times** in a year.
- The **quorum** for a meeting of the Monetary Policy Committee shall be **four Members, at least one of whom shall be the Governor, and in his absence, the Deputy Governor who is the Member of the Monetary Policy Committee**.
- The **meetings of the Monetary Policy Committee shall be presided over by the Governor, and in his absence by the Deputy Governor who is a Member of the Monetary Policy Committee**.
- **Each Member** of the Monetary Policy Committee shall **have one vote**.
- All questions which come up before any meeting of the Monetary Policy Committee shall be decided by a majority of votes by the Members present and voting, and **in the event of an equality of votes, the Governor shall have a second or casting vote**.

Instruments Of Monetary Policy:

There are **several direct and indirect instruments** that are used for implementing monetary policy:



Repo Rate: The interest rate at which the Reserve Bank provides liquidity under the liquidity adjustment facility (LAF) to all LAF participants against the collateral of government and other approved securities.

Repo Rate is called the “Key Policy Rate”; and Repo Rate and Reverse Repo Rate comes under "Liquidity Adjustment Facility (LAF)". Only Repo Rate is announced by the RBI and Bank Rate and MSF rate are linked to the Repo Rate.

Standing Deposit Facility (SDF) Rate:

The rate at which the Reserve Bank accepts uncollateralised deposits, on an overnight basis, from all LAF participants. The SDF is also a financial stability tool in addition to its role in liquidity management. The SDF rate is placed at 25 basis points below the policy repo rate. With introduction of SDF in April 2022, the SDF rate replaced the fixed reverse repo rate as the floor of the LAF corridor.

Marginal Standing Facility (MSF) Rate:

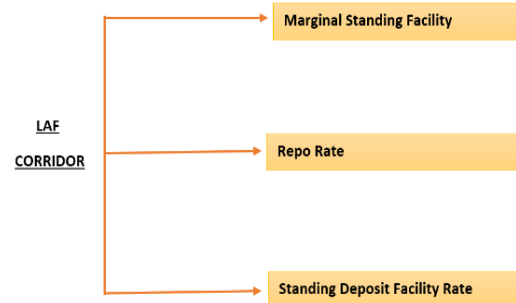
It is also a liquidity adjustment facility introduced in 2011. It is a facility under which all scheduled commercial banks (having Current Account and SGL (Subsidiary General Ledger) Account with Reserve Bank, Mumbai will be eligible to participate in the MSF Scheme), can borrow additional amount of overnight money from the Reserve Bank against their excess SLR securities or by dipping into their SLR portfolio up to a limit at a penal rate of interest. This provides a safety valve against unanticipated liquidity shocks to the banking system.

When banks take loan from RBI at Repo rate, banks need to keep Govt. Securities with RBI, but this security is in addition to the requirement of SLR. If Banks cannot keep SLR securities to avail loan from RBI at Repo Rate. But under MSF, banks can borrow money/cash from RBI by dipping into the SLR reserve. This means the banks can keep 2% of the SLR securities with RBI (i.e. the SLR can go down up to 2% below the normal SLR limit) and can borrow cash from RBI. This is called Marginal Standing Facility (MSF).

Liquidity Adjustment Facility (LAF): The LAF refers to the Reserve Bank's operations through which it injects/absorbs liquidity into/from the banking system.

It **consists of overnight as well as term repo/reverse repos** (fixed as well as variable rates), **SDF and MSF**. Apart from LAF, instruments of liquidity management include outright open market operations (OMOs), forex swaps and market stabilisation scheme (MSS).

LAF Corridor: The **LAF corridor** has the marginal standing facility (**MSF**) rate as its **upper bound (ceiling)** and **the standing deposit facility (SDF) rate as the lower bound** (floor), with the **policy repo rate** in the **middle of the corridor**.



Reverse Repo Rate: The (fixed) interest rate at which the Reserve Bank absorbs liquidity from banks against the collateral of eligible government securities under the LAF. Following the **introduction of SDF, the fixed rate reverse repo operations will be at the discretion of the RBI** for purposes specified from time to time.

- **Alternative Definition:** Reverse repo rate is the rate at which **banks place their surplus funds with the RBI**.
- **Following the introduction of SDF, the fixed rate reverse repo operations will be at the discretion of the RBI for purposes specified from time to time.** Reverse repo rate is the rate at which banks place their surplus funds with the RBI.

Bank Rate:

It is the standard rate at which the Reserve Bank is prepared to buy debt instruments (for example commercial paper) or rediscount bills of exchange.

On introduction of LAF, the Reserve Bank has discontinued this operation. As a result, the Bank Rate became dormant as an instrument of monetary management.

It is now aligned to MSF rate and **used for calculating penalty on default in the cash reserve ratio (CRR) and the statutory liquidity ratio (SLR)**. For example, **the current penal rate on shortfall in reserves is Bank Rate plus 3 percent**.

The Bank Rate is published under Section 49 of the Reserve Bank of India Act, 1934. This rate has been aligned to the MSF rate and, therefore, changes automatically as and when the MSF rate changes alongside policy repo rate changes.

Open Market Operations (OMOs): Sale / purchase of government securities by RBI to/ from the general public in the open market (secondary market) for injection and

absorption of durable liquidity (money supply) in the economy is called open market operations.

If the inflation in the economy is high then to control the inflation **RBI reduces the money supply by selling government securities to the public.** And **if RBI wants to increase the money supply, then it buys government securities** from the public and pays them money in exchange of government securities which increases the money supply in the economy.

It is done on E-Kuber platform.

Note: While G-Secs are initially issued through auctions conducted by the RBI on the E-Kuber platform, they can subsequently be traded in the secondary market via NDS-OM. This includes both direct trades and transactions facilitated by brokers.

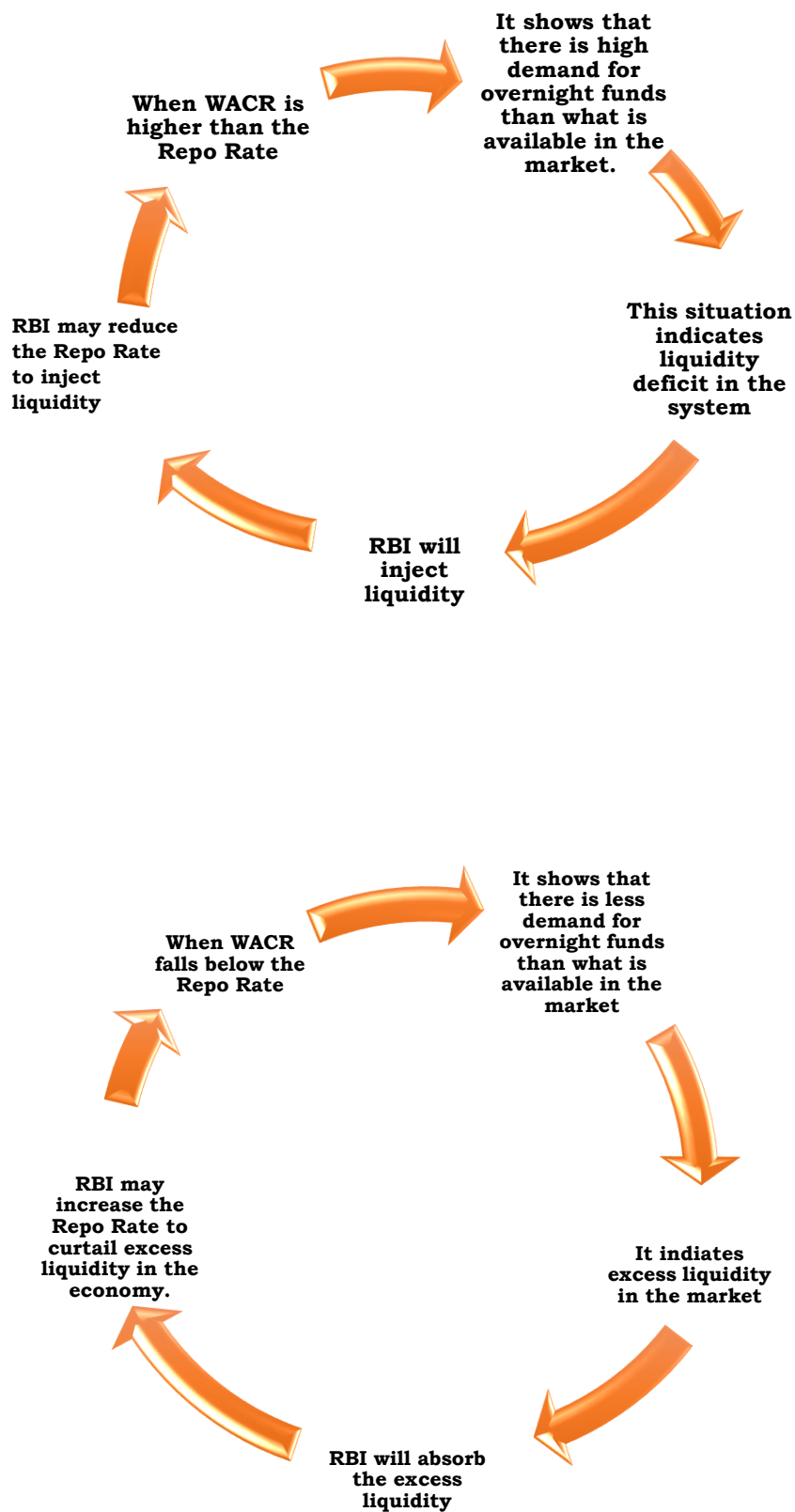
WACR (Weighted Average Call Rate):

It is the **weighted average of the interest rates at which banks transact in the call money market, reflecting short-term liquidity conditions** in the banking system.

WACR is used as the operating target of the monetary policy.

The RBI aims to keep the WACR aligned with its Repo Rate through active liquidity management strategies **to facilitate transmission of repo rate changes through the entire financial system**, which, in turn, **influences aggregate demand** – a key determinant of inflation and growth.

How is it used to ensure stability?



Operation Twist:

Aim: To lower long-term interest rates while keeping short-term rates stable. This encourages borrowing and investment, which can stimulate economic growth.

- **Operation Twist is a monetary policy strategy used** by central banks aimed at stimulating economic growth **through lowering long-term interest rates.**
- This is achieved by **selling near-term Treasuries to buy longer-dated ones.**
- Operation Twist effectively "**twists**" the ends of the yield curve where **short-term yields go up and long-term interest rates drop simultaneously.**

By selling short-term government bonds, the central bank increases their supply in the market, which can raise their yields (and thus interest rates).

Conversely, **buying long-term bonds increases their demand, lowering their yields.** This creates a flatter yield curve.

Reserve Requirements:

$$\text{NDTL} = (\text{Demand Liabilities} + \text{Time Liabilities}) - \text{Deposits with Other Banks}$$

Cash Reserve Ratio (CRR): The average daily balance that a bank is required to maintain with the Reserve Bank as a per cent of its net demand and time liabilities (NDTL) as on a fortnightly basis.

For scheduled banks, the maintenance of CRR is governed through **Section 42 of the Reserve Bank of India Act 1934** and for **Non-Scheduled banks** CRR is governed through **Section 18 of the Banking Regulation Act 1949.**

- *Deposits of public is the liability of banks. The public's demand deposits are demand liability of the bank and time deposits are time liability of the banks and the total of demand and time deposits of the public is called the Net Demand and Time Liabilities (NDTL) of the banks.*

Incremental Cash Reserve Ratio (I-CRR):

The **Incremental Cash Reserve Ratio (I-CRR)** is a temporary monetary policy tool used by the Reserve Bank of India (RBI) to manage excess liquidity in the banking system. The I-CRR requires banks to set aside a portion of their funds with the RBI for

a specific period, based on the increase in their Net Demand and Time Liabilities (NDTL).

The **Incremental CRR is not a permanent measure**; it's implemented **for a short duration** to address a particular liquidity issue or economic circumstance.

The purpose of the Incremental CRR is to absorb excess liquidity in the banking system that might arise due to particular events, policies, or economic conditions.

E.g., On August 10, the RBI mandated banks to maintain an incremental cash reserve ratio (I-CRR) of 10 percent on the increase in their net demand and time liabilities (NDTL) between May 19, 2023 and July 28, 2023.

The measure was intended to absorb the surplus liquidity generated by various factors, including the return of 2,000-rupee notes to the banking system

Statutory Liquidity Ratio (SLR) The amount of reserves that the scheduled commercial banks are required to maintain with themselves on a daily basis in safe and liquid assets such as government securities, gold and cash with respect to their NDTL is called SLR.

Excess CRR balance are also treated as liquid assets for the purpose of SLR. (This means that any funds held by banks beyond the required CRR can be utilized to meet SLR requirements, enhancing the liquidity position of the banks.) **Scheduled Commercial Banks are required to maintain SLR as per the Banking Regulation Act 1949. The maximum limit for SLR is 40%.**

The requirement of CRR and SLR is to make public deposits safe and liquid and enable RBI to control the amount of money that banks can create. It ensures that banks have a safe cushion of assets to draw on when account holders want to be paid.

Reserve Ratios	
CRR	: 4.00%
SLR	: 18.00%

- **Banking Regulation Act 1949 (Section 24)** governs maintenance of **SLR for all banks (scheduled and non-scheduled) commercial and cooperative.**
- **All Commercial and Cooperative Banks (either scheduled or non-scheduled) are required to maintain CRR and SLR.**

Market Stabilization Scheme (MSS)/ Sterilization:

- ✓ Many developing countries have reaped handsome rewards from surging capital inflows in recent years. This is widely regarded as a very welcome phenomenon, raising levels of investment and encouraging economic growth.
- ✓ **But surging capital inflows can also lead to destabilizing side effects, including a tendency for the local currency to appreciate,** undermining the competitiveness of export industries, and potentially giving rise to inflation.

- ✓ **Why inflation?** When foreign investors bring foreign currency/dollars, ultimately this dollar comes to RBI and new money/currency is given by RBI to the investors which **increases money supply** and **monetary base** or the **high powered money** (**currency in circulation + bank deposits with RBI, + other deposits or, $CC+BD+OD$**) in the economy without a corresponding increase in production: too much money begins to chase too few goods and services resulting in inflation.

Monetary Base: It is also called **High-powered money** or **reserve money** (**Currency in circulation + Banks' deposits with RBI + Other deposits**)

- ✓ To ease the threat of currency appreciation or inflation, central banks often attempt what is known as the "**sterilization**" of capital flows. The classical form of sterilization, however, has been through the use of **open market operations**, that is, selling Treasury bills and other securities by RBI to reduce the domestic component of the monetary base/ money supply.
- ✓ **MSS is an instrument of sterilisation**, which empowered the RBI to **issue Government Treasury Bills and medium duration dated securities for the purpose of liquidity absorption.**
- ✓ **This instrument of monetary management was introduced in 2004** to absorb surplus liquidity of a **more enduring nature** arising from large capital inflows. The scheme worked by impounding/taking the proceeds of auctions of Treasury bills and date Government securities **in a separate identifiable MSS cash account maintained and operated by the RBI.** The amounts credited into the MSS cash account were appropriated only for the purpose of redemption/buy back of the Treasury Bills/dated securities issued under the MSS. *The introduction of MSS succeeded broadly in restoring the LAF to its intended function of daily liquidity management.*

As macroeconomic conditions change, the central bank may change the choice of instruments in its monetary policy.

- ✓ Till 1991, CRR and SLR were the main tools of RBI' monetary policy.
- ✓ Since 1991 till 2000, RBI used OMO as its main tool for monetary policy. Since **2000 till today RBI is using Repo Rate and Reverse Repo Rate as the main tools** of Monetary Policy in addition to the OMO.

Expansionary and Contractionary Monetary Policy:

Monetary policy can be classified as either expansionary or contractionary:

Expansionary Monetary Policy: It aims to **expand the money supply** in order to stimulate economic growth.

E.g., Reducing the Repo Rate, in order to expand money supply in the economy.

Contractionary Monetary Policy: It aims to **reduce the money supply** in order to contain inflation.

E.g., Raising the Repo Rate to absorb surplus liquidity and reduce the money supply in the economy.

Helicopter Drop and Helicopter Hoover:

Apart from the traditional tools of monetary policy, these two are often in news as **unconventional tools of money supply.**

Helicopter drop:

- Helicopter drop, **an idea of economist Milton Friedman**, is a type **of monetary stimulus** that **injects cash into an economy** as if it was thrown out of a helicopter.
- Helicopter money **refers to increasing a nation's money supply through more spending, tax cuts, or boosting money supply.**
- Some of the stimulus measures taken in response to the Covid-19 crisis resemble the concept of helicopter drop money.



Helicopter hoover/Reverse Helicopter drop:

- The term "**helicopter hoover**" was mentioned in the context of India's **demonetization policy in the Economic Survey of 2016-17.**
- The term "**helicopter hoover**" **suggests a reversal of the traditional "helicopter drop" concept**, where money is distributed to stimulate the economy. Instead, demonetization acted as a "hoover," **sucking money out of circulation and constraining purchasing power for many citizens.**

Other important concepts:

Negative carry-on account of CRR: is the cost that the banks have to incur while keeping reserves with the RBI. **The RBI is not giving an interest for CRR held by the banks.** The cost of such funds kept idle can be charged from loans given to the people.

Operating cost: is the operating expenses incurred by the banks.

Tenor premium: denotes that higher interest can be charged from long term loans.

Long Term Repo Operation (LTRO): LTROs were introduced in February 2020 to augment the liquidity management toolkit. The mechanism of **LTROs is similar to repos but they are of longer duration from one to three years.**

Long Term Repo Operations (LTROs) - Operational Guidelines by RBI:

Long Term Repo Operations (LTROs) - Operational Guidelines

- LTROs conducted under this scheme will be in addition to the existing LAF and MSF operations. The total amount of liquidity injected through these operations would be up to ₹ 1,00,000 crores.
 - LTROs will be conducted on CBS (E-KUBER) platform. The operations would be conducted at a fixed rate. Banks would be required to place their requests for the amount sought under LTRO during the window timing at the prevailing policy repo rate. Bids below or above policy rate will be rejected.
 - In case of over-subscription of the notified amount, the allotment will be done on pro-rata basis. RBI will, however, reserve the right to inject marginally higher amount than the notified amount due to rounding effects.
 - The minimum bid amount would be Rupees one crore and multiples thereof. The allotment would be in multiples of Rupees one crore. There will be no restriction on the maximum amount of bidding by individual bidders.
 - The reversal of these operations would take place at the 'start of day' on the day of maturity.
 - The eligible collateral for LTROs and the applicable haircuts will remain the same as applicable for LAF.
 - All other terms and conditions as applicable to LAF operations, including facility for security substitution, will also be made applicable to the LTROs, mutatis mutandis.
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 - **The reversal of these operations would take place at the 'start of day' on the day of maturity.**
 - **The eligible collateral for LTROs and the applicable haircuts will remain the same as applicable for LAF.**
 - All other terms and conditions as applicable to LAF operations, including facility for **security substitution**, will also be made applicable to the LTROs, mutatis mutandis.

TLTRO:

Objective: In April 2020, RBI announced a Targeted Long-Term Repo Operations 2.0 (TLTRO 2.0) to channel liquidity to small and mid-sized corporates, including non-

banking financial companies (NBFCs) and micro finance institutions (MFIs) that had been impacted by **COVID-19 disruptions**.

The funds availed under TLTRO 2.0 had **to be deployed in investment grade bonds, commercial paper (CPs) and non-convertible debentures (NCDs) of Non-Banking Financial Companies (NBFCs)**.

At least 50 percent of the **total funds availed** has **to be apportioned as given below**:

- i. **10 per cent in securities/instruments issued by Micro Finance Institutions (MFIs);**
- ii. **15 per cent in securities/instruments issued by NBFCs with asset size of ₹ 500 crore and below; and**
- iii. **25 per cent in securities/instruments issued by NBFCs with assets size between ₹ 500 crore and ₹ 5,000 crore.**

Sometime news say that RBI has introduced **"on-tap" TLTRO**. Here 'on-tap' means, RBI will not conduct this auction (to give money to banks) **on any particular day, rather banks can come any day and can borrow money from RBI without a fixed- auction schedule**.

And the Liquidity/money availed by **banks under on-tap TLTRO** has to be deployed in **corporate bonds, commercial papers, and non-convertible debentures** issued by **entities in specific sectors**.

Main Liquidity Management Tool: Variable rate repos (VRRs) and variable rate reverse repos (VRRRs) of 14-day tenor will operate as the main liquidity management tool based on liquidity conditions and will be conducted to coincide with the CRR maintenance cycle.

Fine Tuning Operations: The main liquidity operation is supported by fine-tuning operations, overnight and/or longer tenor, **to tide over any unanticipated liquidity changes during the reserve maintenance period**. In addition, the Reserve Bank conducts, if needed, longer-term variable rate repo/reverse repo auctions of more than 14 days.

Variable Rate Repo (VRR): VRR is a **liquidity injection tool** of the RBI.

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As the system deficit leads to muted demand and contraction of economic activities, the RBI conducts VRR auctions as and when need arises.

When weighted average call money rate trends above the repo rate in the interbank money market, it gives signal to the RBI of System Liquidity Deficit.

RBI conducts VRR auctions (tenor: **Overnight to 14 days usually**) for injection of short-term liquidity against collaterals. **At VRR auction, the cut off rate of interest generally remains at one basis point above the prevalent policy repo rate.** For injection of durable liquidity, the RBI conducts VRR auctions for a tenor beyond 14 days very rarely.

Variable Rate Reverse Repo (VRRR): VRRR is a **liquidity absorption tool** of the RBI.

When the weighted **average call rate in the interbank market trends below or near the repo rate**, it gives a signal to the RBI about excess liquidity in banking system. **In order to ensure that excess liquidity is not fuelling inflation, the RBI conducts VRRR auctions (tenor: overnight to 28 days) at frequent intervals for absorption of the liquidity.** At VRRR auction, the cut off rate of interest generally remains at one basis point below the prevalent policy repo rate.

Qualitative tools of Monetary Policy:

Margin Requirements/ LTV: It denotes how much of the property value a bank can lend to a borrower. A 90% LTV indicates that the buyer will have to arrange only 10% of the property value and the rest can be financed through banks.

The loan to value (LTV) ratio: $(\text{Loan Amount} / \text{Asset Value}) * 100.$

Direct Action: This method is adopted when **some commercial banks do not co-operate with the central bank in controlling the credit.** Thus, central bank takes direct action against the defaulter. **It may refuse rediscount facilities to those banks who are not following its directions.**

Rationing of the credit: Under this method, the central bank **fixes a limit for the credit facilities to commercial banks.** Being the lender of the last resort, central bank rations the available credit among the applicants. **Generally, rationing of credit is done by the following four ways:**

- (i) Central bank can refuse loan to any bank.
- (ii) Central bank can reduce the amount of loans given to the banks.
- (iii) Central bank can fix quota of the credit.

(iv) Central bank can determine the limit of the credit granted to a particular industry or trade.

Moral Suasion: Moral suasion aims at strengthening natural confidence and understanding between the monetary authority and the banks as well as financial institutions. **It is not a statutory obligation. It is only a persuasion of commercial banks not to apply for further accommodation from RBI.**

Here there is **no element of compulsion**. So, the effectiveness of this method depends on the willing cooperation extended by the commercial banks.